

Masterclass Day 17

The Pursuit of Growth Investing

Chasing tomorrow's giants: Investing in hyper-growth, innovation, and expanding markets.

Riding the Rocket: **High Growth Companies**

Growth investing focuses on companies whose earnings, revenue, and cash flows are expected to grow at an above-average rate compared to the broader market.

- » **Reinvesting for Expansion:** Instead of paying out large dividends, these companies plow profits directly back into R&D and market capture.
- » **High Valuations:** Investors willingly pay a high PE ratio today because they anticipate astronomical earnings tomorrow.
- » **Sectors:** Dominated by tech disruptors, biotech pioneers, renewable energy, and fintech innovators.



The Infinite Scale:

Scalability

The true superpower of a world-class growth company is **scalability**—the ability to grow revenues exponentially while costs increase only linearly.

Software vs. Manufacturing: Building physical cars requires a new factory for every 100,000 units. Adding 100,000 users to a cloud software app costs practically nothing in marginal infrastructure.

Network Effects: Look for businesses where every new user makes the entire network more valuable for everyone else.



Adjusting for Growth: The PEG Ratio



Is a High PE Actually Cheap?

A PE of 60 sounds insanely expensive until you realize the company is growing its earnings at 60% a year! Enter the **PEG Ratio**.

$$\text{PEG} = \frac{\text{PE Ratio}}{\text{Growth Rate}}$$

The Golden Rule: A PEG ratio of **1.0** suggests the stock is fairly valued relative to its growth. A PEG under 1.0 indicates a potential high-growth bargain!

Great Job on Day 17!

Tomorrow: Day 18 - Dividend Investing.

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